

CD4 A T L - 1

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1. Hospital Patient Segmentation

given data:

Patient	Age	Monthly medical	Health Risk	Cluster	SSE
P ₁	28	12000	65	1	600
P ₂	55	25000	40	2	360
P ₃	42	20,000	75	3	220
P ₄	30	11,000	70	4	200
P ₅	60	28000	35	5	190

Interpretation:

The elbow method is used to determine the suitable number of cluster in K means. The SSE decreases as the number of cluster in K - mean.

$$K=1 \rightarrow SSE=600$$

$$K=2 \rightarrow SSE=360$$

$$K=3 \rightarrow SSE=220$$

$$K=4 \rightarrow SSE=200$$

$$K=5 \rightarrow SSE=190$$

optimal no of clusters:

optimal K=3 clusters
the three clusters can represent different patient

groups such as:

- High risk patients: Patients with high health risk score
- High expenses patients: Patients requiring greater monthly

medical expenditure

- Lower risk patients: Patients who may require compar
- less intensive healthcare resources.

Effect healthcare Decision - making :-

selecting three clusters allows the
healthcare organization to segment patients more meaningful
stead of treating all patients equally. High risk patients
can receive lower monitoring and presenting
care, High expense patient can be studied for
specialized treatment or cost management programs. Lower risk
patient can receive routine healthcare services. If n
is too small important different better patient
may be hidden. If n is too large, the
segmentation becomes unnecessarily complicated and many